BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) NO. 03/ALD/2023
(2nd Motion)

(Under Sections 230 & 232 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions of the Companies Act, 2013)

IN THE MATTER OF SCHEME OF AMALGAMATION BETWEEN:

1. **UTKRISHT MANPOWER PARTNERS PVT LTD**,

   A private limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office at B-24, Surya Palace, Delhi Road, Meerut-250 002, Uttar Pradesh

   ..... Petitioner Company/Transferor Company No. 1

2. **STARLA MEDIA PVT LTD**,

   A private limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office at B- Cabin No. 2, 2nd Floor, E-109, Pandav Nagar, Delhi-110 092

   ..... Non-Petitioner/Transferor Company No. 2

AND

3. **ADHEESHTH HOLDING PVT LTD**,

   A private limited company incorporated under the provisions of the Companies Act, 1956 and having its registered office at 2/16, Ground Floor, Ansari Road, Gali No. 2, Daryaganj, Behind Vijaya Bank, New Delhi-110 002

   ..... Non-Petitioner/Transferee Company

Order Pronounced On: 01st August, 2024

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Coram:

Mr. Praveen Gupta.	:	Member (Judicial)
Mr. Ashish Verma	:	Member (Technical)

Appearances:

Sh. Rajeev K Goel alongwith Sh. Kartikeya Goel and Mr. Ankit Kumar Singh, PCS	:	For the Petitioner Company

ORDER

1. The present Company Petition is filed by the Petitioner Transferor Company No. 1 under Sections 230 & 232 of the Companies Act, 2013, read with Section 66 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions, if any, for sanction of the Scheme of Amalgamation of **Utkrisht Manpower Partners Pvt Ltd** ("Petitioner Company No. 1" or "Transferor Company No. 1") and **Starla Media Pvt Ltd** ("Non-Petitioner Company" or "Transferor Company No. 2") with **Adheeshth Holding Pvt Ltd** ("Non-Petitioner Company" or "Transferee Company") ("Scheme" or "Scheme of Amalgamation").

2. The Petition has now come up for final hearing. The Ld. Counsel for the Petitioner Company submits as follows:

(i) **The Transferor Company No. 1 has its registered office in the State of Uttar Pradesh and hence is under the jurisdiction of this Tribunal. Whereas, the Transferor Company No. 2 and the Transferee Company have their respective registered office in the NCT of Delhi and hence are under the jurisdiction of the National Company Law Tribunal, New Delhi Bench-V, New Delhi. Accordingly, the Transferor Company No. 1 is the sole Petitioner in the present Petition**. Whereas the Transferor Company No. 2 and the Transferee Company have already moved the appropriate 2nd motion Petition, before the National Company Law Tribunal, New Delhi Bench–V, New Delhi.

(ii) The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of Petitioner Transferor Company No. 1 in its Board Meeting held on 13th October, 2022.

(iii) The factual position of the Authorized, Issued, Subscribed and Paid-up Share Capital of the Petitioner Transferor Company No. 1 as on 30th September, 2022 is described in the present Company Petition.

(iv) The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

a. All the Transferor and Transferee Companies are closely held un-listed Group Companies under common management and control. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in consolidation of Group Companies and pooling of their resources into a single entity.

b. The proposed Amalgamation would result in business synergy, pooling of physical, financial and human resource of these Companies for the optimal utilization of these factors in the combined entity.

c. The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of redundancies, reduction of overheads, optimal utilization of financial, human and other resources and enhancement of overall business efficiency. The proposed Scheme of Amalgamation will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

d. The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present are required to be made separately by the Transferee Company as well as by the Transferor Companies.

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e. The proposed Amalgamation will streamline and simplify the shareholding structure.

f. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

g. The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

3. It has been stated in the Petition that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the Statutory Auditors of the Transferor Companies No. 1 & 2 and the Transferee Company.

4. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against the Petitioner Transferor Company No. 1.

5. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Transferor Company No. 1

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and the Petition is made *bona fide* and is in the interest of the Petitioner Transferor Company No. 1 and its Shareholders and Creditors as a whole and is just and equitable.

6. It has been stated that the Non-Petitioner Transferor Company No. 2 is a wholly owned subsidiary of the Transferor Company No. 1 whereas the Petitioner Transferor Company No. 1 and the Non-Petitioner Transferee Company are private limited Companies. The Transferor Companies and the Transferee Company are Group Companies under common management and control.

7. It is also submitted that valuation exercise has been carried out to determine the share swap ratio for the proposed Scheme of Amalgamation. Ms Mallika Goel, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide Registration No. IBBI/RV/11/2022/14784 has prepared the Report on Valuation of Shares and Share Exchange Ratio. The

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following Share Exchange Ratio has been proposed for the proposed Scheme of Amalgamation:

- The Transferee Company will issue 1 (one) Equity Share of ₹10 each, credited as fully paid-up, to each of the Shareholders of the Transferor Company No. 1 against their respective Shareholding in the Transferor Company No. 1- Utkrisht Manpower Partners Private Limited (irrespective of number of shares held by these shareholders in the aforesaid Transferor Company No. 1).
- Since the Transferor Company No. 2 is a wholly owned subsidiary of the Transferor Company No. 1, no new share will be issued by the Transferee Company on amalgamation of the Transferor Company No. 2 with the Transferee Company.
  Any fraction of share arising out of the aforesaid share exchange process, if any, will be rounded off to the nearest whole number.

8. The Petitioner Transferor Company No. 1 has annexed the Share Valuation Report dated 10th October, 2022 given by Ms Mallika Goel, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India in relation to the share exchange ratio.

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9. A perusal of the present Petition discloses that initially the Petitioner Transferor Company No. 1 had filed a Company Application (CAA) No. 02/ALD of 2023 seeking directions of this Tribunal to dispense with the requirement of convening the meetings of the Equity Shareholders and Un-secured Creditors of the Transferor Company No. 1, for the purpose of considering and approving the Scheme of Amalgamation. The Transferor Company No. 1 did not have any Secured Creditor. Accordingly, this Tribunal vide its order dated 23rd March, 2023 (date of pronouncement), allowed the above mentioned prayers, by dispensing with the requirement of convening the meetings of the Equity Shareholders and Un-Secured Creditors of the Transferor Company No. 1.

10. This Tribunal vide its order date 11th April, 2023 directed to issue notice of the present Company Petition/Scheme of Amalgamation to the Statutory Authorities, viz., (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of

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Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income Tax Department. This Tribunal further directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in **"Business Standard"** (English, Delhi NCR Edition) and **"Business Standard"** (Hindi, Delhi NCR Edition).

11. In compliance thereof, the Petitioner Transferor Company No. 1 has filed Affidavit of service and publication, confirming that notices have been duly published in "Business Standard" (English, Delhi NCR Edition) and "Business Standard" (Hindi, Delhi NCR Edition) on 21st April, 2023. The Petitioner Company has also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The

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Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income Tax Department.

12. In response to the above stated notice, the Regional Director, Northern Region, New Delhi has filed his Representation Affidavit dated 20th June, 2023 ("RD affidavit") along with the Report of the the Registrar of Companies, Ministry of Corporate Affairs, Kanpur, which has been dealt with by the Petitioner by its Reply affidavit dated 20th April, 2024 ("Reply"). The observations of the RD and response of the Petitioner Company are summarized as under:

Sl. No.	Observations of the ROC/RD	Response of the Petitioner Company
1.	As per MCA registry the object of the all the companies involved in the scheme of amalgamation is different.	At the outset, it may be noted that the aforesaid submission made by the Learned ROC is a matter of fact duly disclosed in the Company Application and the Company Petition. As mentioned in the 1st motion Application and 2nd motion Petition, Main Objects as per MOA of all the Transferor Companies No. 1 & 2 and the Transferee Company are different.

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		The Transferor Company No. 1 is engaged in providing manpower services, consultancy services and other related activities. The Transferor Company No. 2 is engaged in providing services relating to customer information, media and advertisement planning, and other related activities whereas the Transferee Company is engaged in providing advisory services and other related activities. The Transferor Company No. 2 is a wholly owned subsidiary of the Transferor Company No.1 whereas the Transferor Company No. 1 and the Transferee Company are private limited Companies. All the Transferor Companies and the Transferee Company are Group Companies under common management and control. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in consolidation of Group Companies and pooling of their resources into a single entity.

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		It may be further noted that Learned ROC did not make any objection qua different objects clause of the Companies to the Scheme. It is pertinent to point out that there is no bar under the Companies Act, 2013, on arrangement or amalgamation of companies having different object clause or business activities in their Memorandum of Association. It is relevant to submit that decision to amalgamate is a commercial wisdom of the Board of Directors and Shareholders of concerned companies. Courts are normally averse to interfere in such commercial wisdom of the Shareholders. This is held by the Hon'ble Supreme Court of India in the matter of *Miheer H. Mafatlal Vs. Mafatlal Industries Ltd [MANU/SC/2143/1996*] and followed consistently by various High Courts and Benches of this Hon'ble Tribunal.

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2.	There is a fall in the revenue of the Transferor Company No. 1 in the year ended on 31.03.2021 as compared to the year ended on 31.03.2022 from Rs. 4.25 Crores (approx.) to Rs. 9.94 Lacs.	The submission made by the Learned ROC, Kanpur is a matter of fact as reflected in the Audited Financial Statements of the Petitioner Transferor Company No. 1. It may be noted that the Petitioner Transferor Company No. 1 is engaged in providing manpower services, consultancy services and other related activities. During the Financial Year ended 31.03.2022, one of the agreements for supply of manpower came to an end/expired. Since, the agreement in question was with one of the major clients of the Company, substantial part of the total revenue of the Company was adversely affected and it caused substantial fall in the total income of the Company.
3.	Starla Media Private Limited (Transferor Company No. 2) and M/s Adheeshth Holding Private Limited (Transferee Company) falls under the jurisdiction of Registrar of Companies NCT of Delhi and Haryana.	This is a matter of record and needs no Reply. It is however pertinent to mention that the Learned ROC, New Delhi has already given its comments qua the Transferor Company No. 2 and the Transferee Company which have been pointed out by the

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		Learned RD in Para No. 11 of his Report/Affidavit.
4.	This report has been prepared based on documents filed by the companies as well documents available in the MCA Registry. The matter may be decided on merits.	This needs no Reply.

13. The Learned Regional Director, in Para No. 11 of his Report/Affidavit has also pointed out the observations made by the Registrar of Companies, New Delhi with respect to the Non-Petitioner Transferor Company No. 2 and the Non-Petitioner Transferee Company. The observations made by the ROC, New Delhi and response of the Non-Petitioner Transferor Company No. 2 and the Non-Petitioner Transferee Company to the same are reproduced as under; though the same are concerning with respect to the non-petitioner companies only.

Sl. No.	**Observations of the ROC/RD**	**Response of the Non-Petitioner Companies**
1.	As per audited financial statements of the transferee company for the F.Y. 2021-22, it is seen that the company has granted interest free short term loans and advances of Rs. 3,18,07,929/- to Transferor	We do hereby clarify and conform that the Transferee Company has given the entire loan to the Transferor Company No. 2-Starla Media Pvt. Ltd during financial year ended 31st March, 2010.

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	Company no. 02 (i.e. Starla Media Pvt. Ltd). Hence, the company may be asked to ensure the compliance of the provisions of the section 185 and 186 of the Companies Act, 2013.	The requisite compliance with the applicable provisions of the Companies Act, 1956 were duly made by the Transferee Company with respect to the aforesaid loan. Since the loan was given before the implementation of the Companies Act, 2013, provisions of Sections 185 & 186 of the Companies Act, 2013 are not applicable on the aforesaid loan. A certificate from the practicing Company Secretary confirming the compliance of the applicable provisions along with the copies of the relevant documents are enclosed herewith and collectively marked as **Annexure: 1**.
2.	With respect to Transferor Company no. 02 auditor has stated "Emphasis of Matter" in his report for the F.Y. 2021-22, which is as under: • We draw attention to the following matters in the notes to financial statements: • Note no. 2F regarding non-charging of interest on unsecured loan amounting to Rs. 21,38,000 due to reason mentioned therein.	In view of the proposed Scheme of Amalgamation and as per request made by the borrower company i.e., the Transferor Company No. 2, the Transferee Company has not provided for the interest on the aforesaid loan during the Financial Year ended 31.03.2022.

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• The particulars of such unsecured loan is reported below:
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<tr><td>Nature of borrowing including debt securities</td><td>Short Term borrowing (Unsecured Loan)</td></tr>
<tr><td>Name of lender</td><td>Adheeshth Holding Pvt Ltd.</td></tr>
<tr><td>Amount not paid (Rs.)</td><td>3,07,58,293/-</td></tr>
<tr><td>Whether principal or interest is paid</td><td>Interest payable on unsecured loan is not provided in the books of account due to insufficient profits</td></tr>
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<td>3.</td>
<td>As per audited financial statements of the transferor company no. 02 for the F.Y. 2021-22, it is seen that the company has granted long term loans and advances (inter-corporate deposit). Hence, the company may be asked to clarify the nature, disclosure of the said loans granted, as well as ensure to compliance of provisions of the section 185 and 186 of the Companies Act, 2013.</td>
<td>We do hereby clarify and conform that the Transferor Company No. 2 has given the entire loan(s) to Steren Associate Pvt Ltd during financial years ended 31st March, 2010 and 31st March, 2012. The requisite compliance with the applicable provisions of the Companies Act, 1956 were duly made by the Transferor Company No. 2 with respect to the aforesaid loan(s). Since the loan(s) was given before the</td>
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		implementation of the Companies Act, 2013, provisions of Sections 185 & 186 of the Companies Act, 2013 are not applicable on the aforesaid loan. A certificate from the practicing Company Secretary confirming the compliance of the applicable provisions along with the copies of the relevant documents are enclosed herewith and collectively marked as **Annexure: 2**.
4.	As per note no. 7 of audited financial statements of the transferor company no. 02 for the F.Y. 2021-22, it is seen that the company has made diminution provision against the equity shares and result of that provision the carrying value such equity shares become zero (0). Hence, the company may be asked to ensure the compliances of the para 17 of the Accounting Standard (AS)-13. Also, it is seen that it has been stated in the financial statement that part of the diminution is an account of the fact that the investee company is stuck off. In such a case as per Part-I, para-Y (ix) of Schedule - III, detailed disclosure of the	The Transferor Company No. 2-Starla Media Pvt Ltd has given a loan to Starla Exposition Pvt Ltd during the Financial Year ended 31st March, 2022. Since, Starla Exposition Pvt Ltd was not conducting any business, it had applied for striking off its name under the provisions of the Companies Act, 2013. In order to enable Starla Exposition to do the same, loan given to Starla Exposition Pvt Ltd was converted into equity by the Transferor Company No. 2-Starla Media Pvt Ltd. It may be noted that the Transferor Company No. 2 and Starla Exposition

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	relationship with struck off companies is required to be provided, which has not been provided.	Pvt Ltd both are closely held private limited group companies. It is further confirmed that the aforesaid transaction did not have any adverse effect on public interest or on the exchequer.
5.	It is also noted that the investee company i.e. "Starla Exposition private Limited" *(Now struck off)* and transferor company no. 02 had common directors. As on F.Y.2020-21, the transferor company no. 02 had not made any investment in the investee company. Thus, the investment was made in F.Y. 2021-22 and the in the same year the investee company applied for striking off voluntarily.	
6.	It is mentioned in the clause no. 8.3 of the scheme that the Transferor Company no. 2 is the wholly owned subsidiary of the Transferor Company no. 1 and no new shares will be issued by Transferee Company to Transferor Company 02. However, as per list of shareholders attached with e-form MGT-7 filed for the year ended 31.03.2022 and also from shareholding pattern for the year ended 31.03.2022, it seen that the entire shares of the Transferor Company no. 02 are held by Pradeep Kumar Mittal (74.50%) and Anil Kumar Mittal (24.50%). Further, no e-form MGT-6	It is clarified and confirmed that the Transferor Company No. 2 is the wholly owned subsidiary of the Transferor Company No. 1. The Transferor Company No. 1 holds the entire share capital of the Transferor Company No. 2 except 1 Equity Share which is being held through the nominee Shareholder to maintain statutory minimum two shareholders. It is further clarified and confirmed that the Transferor Company No. 2 became the wholly

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	has been filed with RoC by the Transferor Company no. 2 in respect of any beneficial shareholding of Transferor Company no. 1 held through a registered shareholder to complete the minimum shareholder requirement. So, the relationship of holding and subsidiary between the transferor company and the transferee company is doubtful. The same may be clarified from the company. (Copy of shareholder list is annexed herewith).	owned subsidiary of the Transferor Company No. 1 during the Financial Year ended 31st March, 2023. Therefore, the said position is not reflected in the list of Shareholders filed by the Company along with e-form MGT-7 for the Financial Year ended 31st March, 2022. Requisite **e-form MGT-6** has already been filed by the Transferor Company No. 2 in this regard. Copy of the e-Form MGT-6 filed by the Transferor Company No. 2 along with the filing proof is enclosed herewith and marked as **Annexure: 3**.
7.	The Scheme also proposes reduction of capital of the transferee company in the post-merger scenario and also subsequent consolidation which will be effective from the effective date. This is in violation of section 232(6) of the Companies Act, 2013 as the scheme is required to be effective from the appointed date. Thus, it appears that the different parts of the scheme will effective from different dates, whereas section 232(6) requires the scheme to have one (1)	We wish to make the following submissions in this regard: **a.** The Transferor Company No. 2 has accumulated losses/debit balance of profit and loss to the tune of ₹2,46,93,734 as at 30th September, 2022. Whereas the Transferor Company No. 1 and the Transferee Company have accumulated profits in their

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	appointed date on which it will be effective. Further, the scheme should clearly mention the post- reduction resultant capital divided into shares (clearly specifying their value). Also, no valuation in respect of reduction of capital has been carried out.	respective Balance Sheets aggregating to ₹1,71,78,747 as at 30th September, 2022. **b.** Upon the Scheme being effective and in terms of the applicable Accounting Standards, part of the aforesaid losses will be off set against the aggregate credit balance of profit and loss in the books of the Transferee Company (including that of the Transferor Company No. 1). **c.** To re-align the relation between capital & assets; and to reflect the liabilities & assets of the Company accurately and fairly in its books of accounts; and for better presentation of the financial position of the Company; the Transferee Company is proposing to write off part of the balance accumulated losses against its post-merger share capital. **d.** Accordingly, after issue of shares to the shareholders of the Transferor Companies

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		in terms of the Scheme, 20% of the post-merger issued and paid-up share capital of the Transferee Company will be cancelled on a proportionate basis. Equivalent amount of post-merger debit balance of Profit and Loss Account of the Transferee Company (including the Transferor Companies) will be written off against such reduction in capital. Consequently, paid-up value of each Equity Share of the Transferee Company will be reduced from ₹10 per share to ₹8.00 per share. Subsequently, every 5 (five) Equity Shares of ₹8.00 each of the Transferee Company will be consolidated into 4 (four) Equity Shares of ₹10 each. Any fraction arising out of the aforesaid process, if any, will be rounded off to the nearest whole number. It may be noted that all the aforesaid actions will be implemented simultaneously.

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		e. The reduction of the share capital of the Transferee Company, in the aforesaid manner, shall be affected as an integral part of the Scheme only. Approval of this Scheme by the Shareholders and/or Creditors of the Transferor Companies and the Transferee Company; and sanction by this Tribunal under Sections 230 and 232 of the Companies Act, 2013, shall be sufficient compliance with the provisions of Section 66 of the Companies Act, 2013, and other applicable provisions, if any, relating to the aforesaid reduction of share capital. It may, however, be noted that the aforesaid reduction would not involve either diminution of any liability in respect of un-paid share capital; or payment to any shareholder of any paid-up share capital. The Transferee Company is not proposing any buy-

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		back of shares from their shareholders. Accordingly, the Transferee Company will not be required to use the words "and reduced" as part of its corporate name upon sanction of the Scheme. **f.** It is, further, clarified that no creditor of the Transferor Companies or the Transferee Company will be adversely affected by the aforesaid proposed reduction of share capital. **g.** Since the Transferee Company is not proposing any Share Buy-back or payment to any shareholder, no valuation report is required for the proposed reduction of share capital.
8.	The Transferee company may kindly be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 regarding fee payable of its revised Authorized Share Capital.	Clause 9.c of the Scheme of Amalgamation clearly provides that the Transferee Company will comply with the provisions of Section 232(3) (i) of the Companies Act, 2013, and will pay the balance fee and other charges, if any, on the increase in its authorised share

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		capital pursuant to the Scheme of Amalgamation. We once again confirm and undertake that the Transferee Company will comply with the provisions of section 232(3)(i) of the Companies Act, 2013, and other applicable provisions, if any, and make the requisite payment to the Registrar of Companies and other authorities, if any, on increase of its authorized capital subsequent to the sanction of the Scheme of Amalgamation.

14. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad has also submitted his Report dated 25th May, 2023 wherein it has been stated that the Official Liquidator has no objection to the dissolution of the Petitioner Transferor Company No. 1 without winding up pursuant to provisions of Sections 230-232 of the Companies Act, 2013 and other applicable sections and rules thereunder.

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15. In response to the notices served, the Income Tax Department has furnished its Report dated 3rd May, 2023, in respect of the Petitioner Transferor Company No. 1. The Income Tax Department has given its 'No-objection' to the proposed Scheme of Amalgamation. The Petitioner Transferor Company No. 1 and the Non-Petitioner Transferee Company have filed Affidavits dated 02.06.2023, wherein the Non-Petitioner Transferee Company has undertaken to pay any demand that may be raised by the Income Tax Department or any other competent authority in terms of the applicable provisions of law subsequent to the sanction of the Scheme by this Tribunal.

16. The Petitioner Transferor Company No. 1 has also filed Affidavit dated 20th May, 2023, confirming that neither the Petitioner Company nor its Legal Counsel has received any objection/representation from any person against the Petition or the proposed Scheme of Amalgamation in response to the publication of the notice of hearing of the present Petition in Newspapers.

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17. We have gone through the reports/comments of the Ld. Registrar of Companies, Kanpur, Ld. Regional Director (Northern Region), New Delhi, Ld. Official Liquidator, Allahabad and the Income Tax Department and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

18. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Transferor Company No. 1, therefore, the present Company Petition deserves to be allowed in terms of its Prayer Clause.

19. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned and the same shall be binding on all the Shareholders and Creditors of the above-named Petitioner Company and also on the Petitioner Transferor Company No. 1 with effect from the Appointed Date, i.e., 1st day of April, 2022. The Petitioner Transferor Company No. 1 is required to act

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upon as per terms and conditions of the sanctioned Scheme of Amalgamation.

20. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. The transferee company shall also comply with the provisions of Section 170A of the Income Tax Act, 1961 for filing of modified tax returns if any required to be filed.

21. THIS TRIBUNAL DO FURTHER ORDER:

i. Upon the Scheme becoming effective, all the property, rights and powers of the Transferor Company No. 1 specified in the first, second and third parts of the Schedule hereto and all other property, rights and powers of the Transferor Company No. 1 be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall, pursuant to Sections

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230 & 232 of the Companies Act, 2013, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Company No. 1 therein but subject nevertheless to all charges now affecting the same; and

ii. Upon the Scheme becoming effective, all the liabilities and duties of the Transferor Company No. 1 be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

iii. Upon the Scheme becoming effective, all the employees of the Transferor Company No. 1, in service on the Effective Date, shall be transferred to and shall become the employees of the Transferee Company as provided in the Scheme of Amalgamation; and

iv. Upon the Scheme becoming effective, all proceedings now pending by or against the Transferor Company No. 1 be continued by or against the Transferee Company; and

v. Upon the Scheme finally coming into effect and in consideration of the transfer and vesting of all the said assets and liabilities of the Transferor Company No. 1 to the Transferee Company in

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terms of the Scheme, the Transferee Company shall, without any further application or deed, issue and allot Share(s) to the Shareholders of the Transferor Company No. 1 in the following manner as provided in the Scheme of Amalgamation:

- The Transferee Company will issue 1 (one) Equity Share of ₹10 each, credited as fully paid-up, to each of the Shareholders of the Transferor Company No. 1 against their respective Shareholding in the Transferor Company No. 1-Utkrisht Manpower Partners Private Limited (irrespective of number of shares held by these shareholders in the aforesaid Transferor Company No. 1).

22. Liberty is granted to the Petitioner to file the Schedule of Assets.

23. The Petitioner Company shall, within thirty days of the date of the receipt of this Order, cause a certified copy of this order to be delivered to the Registrar of Companies, Kanpur, for registration; and on such certified copy being so delivered, the Transferor Company No. 1 shall stand dissolved without undergoing the process of winding up and the Registrar

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of Companies shall place all documents relating to the Transferor Company No. 1 and registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said two Companies shall be consolidated accordingly; and

24. The Petitioner Company shall supply legible print outs of the Scheme and the Schedule of Assets in acceptable form to the Registry and the Registry will append such print outs, after verification, to the certified copy of the Order.

25. Certified copy of this Order be supplied, if applied for, subject to compliance with usual formalities.

26. That the Transferor Company No.1 shall deposit an amount of Rs.25,000/- (Rupees Twenty-Five Thousand Only) in favour of "The Ministry of Corporate Affairs" within a period of four weeks from the date of receipt of the certified copy of this order and file affidavit of compliance thereof.

27. All the concerned Regulatory Authorities and other persons to act on a copy of this Order annexed with the

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Scheme duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

28. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

29. Accordingly, the present Company Petition bearing CP (CAA) No. 03/ALD of 2023 is allowed and stands disposed of.

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Ashish Verma **Member (Technical)**	**Praveen Gupta** **Member (Judicial)**

Date: 01st July, 2024